

		Defendants Steger, Inc. and Casco Contractors, LLC move for an order determining that the settlement between Plaintiff and Steger and Casco was reached in good faith pursuant to Code Civ. Proc. §§ 877 and 877.6, dismissing any and all pending cross-complaints against Defendants, and barring claims against Defendants for contribution or indemnity based on the incident that is the subject of this lawsuit. For the following reasons, the unopposed motion is GRANTED. It is incumbent upon the trial court to consider and weigh the <i>Tech-Bilt</i> factors only when the good faith nature of a settlement is disputed. Where “good faith” is not contested, a “barebones” motion which sets forth the grounds of good faith and is accompanied by a declaration setting forth a brief background of the case is sufficient. (<i>City of Grand Terrace v. Superior Court</i> (1987) 192 Cal.App.3d 1251, 1261.) Defendants has satisfied this minimal burden and no party has opposed the application. Defendants’ moving papers and supporting declaration adequately set forth the nature of the case and all pertinent facts, the settling parties’ relative litigation positions, and the barebones terms of the settlement. (See Motion and Becker Declaration.) The Court finds that the \$150,000 settlement payment is a reasonable, good faith settlement amount and dismisses all Cross-Complaints asserted against Defendants and any other claims for contribution or indemnity from any other party served with this motion. Moving Parties to give notice.
9	Truong vs Tran	<u>Motion for Sanctions</u> TENTATIVE RULING: Plaintiffs/Cross-Defendants Hai Hoang Truong and Thuy Phuong Nga To move for an order dismissing the SACC of Defendant/Cross-Complainant Paul T. Nguyen. For the following reasons, the motion is DENIED. <u>Safe Harbor Provision</u> Code of Civil Procedure section 128.7 contains a 21-day safe harbor requirement within which a party can withdraw or correct the challenged filing. (See Code Civ. Proc., § 128.7, subd. (c)(1).)

“The purpose of the safe harbor provision is ‘to conserve judicial resources otherwise spent adjudicating a sanctions motion by affording a prescribed period of time during which a party may correct or withdraw a frivolous or improper pleading or motion without any penalty. [Citation.] If the merits of the objectionable document are resolved by the court prior to the expiration of the safe harbor period, there is nothing left to correct or withdraw, thereby undermining the remedial purpose of the safe harbor provision.’ [Citation.]” (*Changsha Metro Group Co., Ltd. v. Peng Xufeng* (2020) 57 Cal.App.5th 1, 9, review denied, (Feb. 17, 2021).) At the time of such service, the motion must set forth the hearing date. (*Galleria Plus, Inc. v. Hanmi Bank* (2009) 179 Cal.App.4th 535, 538.) There is no requirement that the motion be served again upon filing with the court. (Code Civ. Proc., § 128.7, subd. (c)(1).)

The court finds Cross-Defendants complied with the safe harbor provision. (See Mot. [ROA 195] at Caption page and POS.)

Motions for Sanctions Pursuant to Code of Civil Procedure 128.7

By presenting a pleading to the court, an attorney or unrepresented party is certifying that, to the best of the person’s knowledge, information and belief, formed after an inquiry reasonable under the circumstances that all of the following conditions are met: (1) it is not being presented primarily for an improper purpose; (2) the claims, defenses, or other legal contentions are warranted by existing law or by a nonfrivolous argument for the extension, modification or reversal of existing law or the establishment of new law; (3) the allegations and other factual contentions have evidentiary support, or if specifically so identified, are likely to have evidentiary support after a reasonable opportunity for further investigation or discovery; and (4) the denials of factual contentions are warranted on the evidence or, if specifically so identified, are reasonably based on a lack of information or belief. (Code Civ. Proc. § 128.7, subd. (b).)

If a pleading does not meet those conditions, a party may bring a motion for sanctions. (Code Civ. Proc. § 128.7, subd. (c)(1).) The purpose of permitting such a motion is remedial, not punitive. The goal is not to punish the offender but to promote compliance and deter frivolous filings. (*Malovec v. Hamrell* (1990) 70 Cal.App.4th 434, 440.)

If, after notice and a reasonable opportunity to respond, the court determines that Section 128.7(b) has been violated, the court may,

subject to the certain conditions, impose an appropriate sanction upon the attorneys, law firm, or parties that have violated Section 128.7(b) or are responsible for the violation. (Code Civ. Proc., § 128.7, subd. (c).) The determination of violation is made under an objective standard. (*Bockrath v. Aldrich Chem. Co., Inc.* (1999) 21 Cal.4th 71, 82.) A claim is “objectively unreasonable” if any reasonable attorney would agree that it is totally and completely without merit. (*Peake v. Underwood* (2014) 227 Cal.App.4th 428, 440.) It is not necessary for the moving party to show that the party presenting the deficient pleading acted with an improper motive or subjective bad faith; but the fact that a party does not actually believe in the merits of his or her claim is relevant to the issue whether sanctions are warranted in a particular case. (*Peake, supra*, 227 Cal.App.4th at 449.) In determining what sanctions, if any, should be ordered, the court shall consider whether a party seeking sanctions has exercised due diligence. (Code Civ. Proc., § 128.7, subd. (c).)

Whether to grant sanctions under section 128.7 is subject to the court’s discretion. (*Kojababian v Genuine Home Loans, Inc.* (2009) 174 Cal.App.4th 408, 420-422.) Sanctions under 128.7 are “‘made with restraint’ . . . and are not mandatory even if a claim is frivolous.” (*Peake v. Underwood* (2014) 227 Cal.App.4th 428, 448 [citations omitted].)

Second Amended Cross-Complaint

The operative SACC pleads causes of action for (1) breach of contract; (2) breach of contract; (3) cancellation of instruments; (4) declaratory relief; and (5) fraud.

Cross-Defendants contend each claim in the operative SACC lacks legal and factual merit.

This court ruled on the legal merit of these claims, overruling Plaintiffs’ demurrer to the SACC. (*See* ROA 206 [10/25/2023 Minute Order].) As such, the only remaining issue is the factual merit of the claims.

Lacking factual merit alone does not justify the imposition of sanctions. “[W]hen determining whether sanctions should be imposed, the issue is not merely whether the party would prevail on the underlying factual or legal argument. Instead, courts should apply an objective test of reasonableness, including whether ‘any reasonable attorney would agree that [the claim] is totally and completely without merit.’ [Citations.] Thus, the fact that a